INTRODUCTION TO PART V

The Evolution of a Value Investor

by Steven Romick

Earning a Bachelor of Science degree in education from Northwestern University is not the most traditional path to a career in finance. Nonetheless, a manager of a successful investment partnership hired me out of college in 1985 as an experiment. He said that he was tired of "unlearning" MBAs of their erroneous theories. It helped that he was friends with my father.

At the time I received that job offer, I had already been accepted to a top law school and had intended to get both JD and MBA degrees, but I thought that a career in investing could be exciting. I lugged home a few dozen prospectuses after my first day on the job, since I didn't have a clue as to what makes something a good investment or a good business, and I had no understanding of how to read a financial statement. Hopefully, the law school that saw fit to accept me once would do so again if this experiment didn't work out. In the meantime, I committed myself to learning as much as I could about investing. Someone directed me to Benjamin Graham's *The Intelligent Investor*, which in turn led me to Graham and David Dodd's *Security Analysis*. And that, along with night classes in accounting at UCLA, became the basis for my education as an investor.

Graham and Dodd introduced me to the foundations of value investing. I learned that if you were to buy a stake in a business with enough of a margin of safety, it would be hard to lose money. If the